



Time: 5 minutes

Outcome: Evaluate Product Variety, Efficiency & Model Limits.

Difficulty: Intermediate

Product Variety, Efficiency & Model Limits

THE CORE IDEA

Monopolistic competition trades some cost and allocative efficiency for product variety and differentiated consumer choices. Variety may create utility even while markup and excess capacity remain. Variety can create utility even with efficiency costs. Differentiation can create consumer value through variety even when the standard model shows some productive inefficiency.

HOW TO RECOGNIZE IT

- Variety may create utility even while markup and excess capacity remain.
- Variety can create utility even with efficiency costs.
- Differentiation can create consumer value through variety even when the standard model shows some productive inefficiency.
- Two markets have the same total production cost.

WATCH OUT

A common mistake is to misapply monopolistic competition rule. Differentiation can create consumer value through variety even when the standard model shows some productive inefficiency.

WORKED EXAMPLE: WEIGHING THE VALUE OF VARIETY

Two bakeries offer different breads. A neighborhood values having both varieties, but dividing sales between the bakeries can leave each producing below its lowest-cost scale. More variety can therefore benefit buyers while raising cost per loaf. A welfare judgment weighs those benefits against the extra resource cost; a markup alone does not measure the value of variety.

CHECK YOURSELF

Lotus Fitness: A new specialized program better matches a subset of customers. Which classification is most accurate?